

ATI Inc ATI

August 26, 2026 - 9:32am EST
by

OCNYguy

2026 2027

Price:	210.00	EPS	4.72	6.01
Shares Out. (in M):	139	P/E	44.5	35.0
Market Cap (in \$M):	29,192	P/FCF	52.0	40.1
Net Debt (in \$M):	1,690	EBIT	925	1,121
TEV (in \$M):	30,705	TEV/EBIT	34.8	28.4

Description

Summary:

ATI is a high-barrier, oligopolistic producer of specialty-grade titanium/nickel alloys used in the most critical portions of aircraft, medical instruments, naval propulsion, nuclear reactors, and industrial/energy end-markets. These alloys are needed for their durability and lightweighting properties in modern aircraft. Even with the outperformance over the last year, I think the current setup is still an exciting opportunity because of the volume demand tailwinds generated off record orderbooks for new narrow/widebody aircraft that continue to run past 10 yrs. I believe the business is likely to grow in the low-teens CAGR range over the next 3-4yrs vs conservative mgmt & Street estimates in the HSD range. Their margin ramp story is overlooked with a combo of restructuring towards selective, higher value products and increasing production volumes that should drive +700-800bps of op margin improvement in the same timespan; at \$1.7B/yr in EBIT at a forward multiple of 30x, I believe shares are currently undervalued by 40% or an annual expected return of 22% through '29.

Thesis – ATI is a LONG because:

- Global aging aircraft fleets and 737 & 787 production re-ramps have created record 10+ yr backlog for Boeing/GE Aero resulting in critical supply-demand imbalances and long-term pricing power for ATI's alloys which should drive floor HSD growth over the next 3-4yrs
- Overlooked higher margin, faster growing emerging specialty franchises in nuclear AI data-center power, Navy propulsion, and missile munitions will contribute MSD growth to top-line and push total growth to a low-teens CAGR vs. Street more so HSD
- Ignored in-progress restructuring playbook towards higher-value products (similar to peers CRS/HWM) and improving volumes should drive a structural +700-800bps operating margin expansion

Business Overview:

ATI operates in a triopoly industry setting with peers CRS and HWM where they each focus on slightly different portions of the A&D supply chain as well as respective non-A&D endmarkets (i.e. ATI more naval, nuclear, missile munitions). CRS and ATI are a bit more upstream while HWM is slightly more downstream and currently captures more of the highest-value portions (specifically jet engine parts). All 3 are directly tied to new aircraft and engine demand (i.e. Boeing, Airbus, GE Aero) as well as higher margin aftermarket spares/repairs. Business is dependent on capacity utilization/production volumes benefiting operating leverage and will tend to offer the highest returns on capital ~30-40% during peak demand and build-out periods.

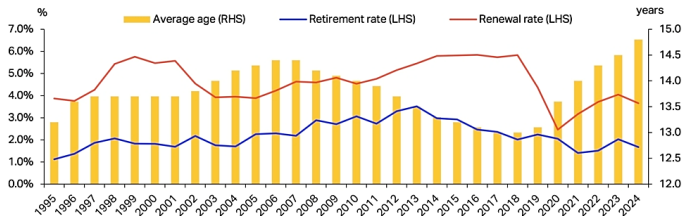
50% of ATI's business is dedicated to Advanced Alloys & Solutions AAS which is a more upstream business that makes flat-rolled, high-grade metal products/materials (i.e. sheets, plates, strips, billets) for a wide range of industrial applications but most notably on the A&D and energy side (~40% and ~20% of segment respectively) like airframe structures, jet engine components, and corrosion-resistant parts for nuclear reactors. Other half of the business is High Performance Materials & Components HPMC (~90% A&D) that makes highly technical/proprietary powder alloys for slightly more downstream applications and also has a pre-downstream forged-formed products side for components that require an immense amount of structural strength and lightweight properties; they're used in specialized portions of structures like high-temperature/thermal sections in an aircraft engine (i.e. combustion chambers, turbine blades, exhaust nozzles).

Key Investment Factors:

1) 10+ year backlog for OEM customers provides structural floor HSD growth expectations over next 3-4yrs: Boeing is expected to increase total plane deliveries by +10% y/y in FY'26 and +19-20% y/y in '27 as ongoing 737 MAX production/delivery ramp has been recently bumped up to 47 per month (from 42/month earlier '26) and will be on track for 53/month by late '26, with a long-term target of 63/month (+50% aggregate boost) to help ease record wait times on new plane deliveries. GE Aero as of this latest quarter upgraded their full year '26 revenue growth outlook from LDD to now high-teens on the back of their backlog/orderbook increasing at an average high-teens/+20% y/y rate the last 5 consecutive quarters. This is also not factoring pricing tailwinds the OEMs and their respective upstream suppliers like ATI are putting through – on the latest earnings call ATI's CEO mentioned a backloaded 2nd half on margins due to their long-term agreement "LTA" pricing renegotiations kicking in and stepping up top-line growth (my channel-check research indicates +20-30% increase in pricing per lb). Each new generation of aircraft fleets and engines also use a higher content mix of engineered alloys for lightweighting and durability than previous generations (mentioned Pratt Whitney GTF engine having 6x more ATI content now vs '23), so it will place even more stress on already constrained volume supplies.

Despite these bullish outlook indicators, the Street is still sticking to a conservative HSD growth outlook over the next 3-4yrs and I think that simple volume demand certainty/visibility over the next several years paired with substantial pricing power alone will drive a floor HSD growth rate, and combined with ATI's higher-value, higher growth emerging franchises, it will elevate the overall business into an above-consensus low-teens growth trajectory.

Chart 8: Average age of global fleet, fleet retirement rate, and renewal rate*



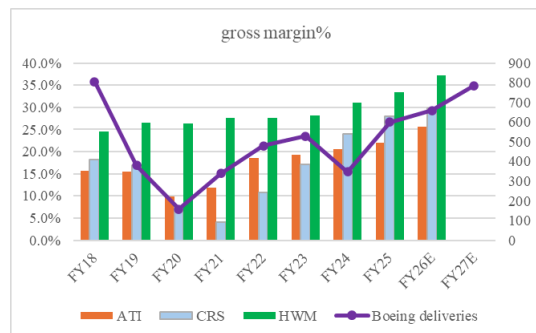
Source: IATA Sustainability and Economics, Cirium Fleets Analyzer * retirement rate = retirement events/fleet in service and storage at the beginning of period; renewal rate = delivery events/fleet in service and storage at the beginning of period

2) Overlooked emerging, high-growth franchises will be a MSD growth contributor to top-line: Over the last few quarters ATI management has been very vocal about the transformational growth observed in their differentiated specialty, high-value markets that peers CRS and HWM are not as entrenched in – their contracted updates include: a new +\$250MM Cameco contract extension for commercial nuclear reactor materials (+\$50MM/yr over 5yrs for current \$270MM/yr Specialty Energy segment) assisting AI data center power expansion, 5yr \$1B contract update on their largest defense segment serving Navy nuclear propulsion (+\$200MM/yr for current \$600MM/yr Defense segment), and doubling y/y revenues on their accelerating interceptor missile portfolio (Tomahawk, PAC-3, THAAD) – ATI is 1/3 qualified Western producers of high-purity hafnium and zirconium used on missile and nuclear applications.

On a combined basis these contractual updates are already about +\$300MM/yr in additional top-line or MSD/HSD growth contributors to the ~\$4.7B/yr in total current revenue base and possess premium pricing/margin mix vs existing lines. Given the Trump admin's urgency in pushing these critical, high-demand, and structurally accelerating end markets (i.e. nuclear energy initiative, Defense Production Act, National Security Presidential Memorandum), I strongly believe that the market overlooking these nascent drivers will lead to continued estimate and guidance upgrades over the next few quarters, and we are likely still in early innings of more announcements/contractual signings in coming periods.

3) Still in early innings of overlooked production restructuring playbook: In just the last 5 quarters ATI gross margins have expanded at +400bps (20.5% to 24.5%) while op. margins have expanded at an even higher +500bps (13% to 18%). While a good portion of the expansion can be attributed to the re-ramping of volume demand from Boeing and GE Aero helping lift operating leverage, I believe at least +100-200bps of the expansion can be attributed to the company going through early innings of its production restructuring and debottlenecking towards higher value, higher margin segments in A&D, nuclear, power turbines, space, while simultaneously shedding lower value businesses – for example ATI is leveraging the fact they are the sole source supplier for 5 of the 7 necessary superalloys needed to build highly coveted jet engines. Management explained that the heightened volume demand and capacity constraints on their products have allowed them to be selective in prioritizing production towards the highest ASP per lb segments and on the latest call they mentioned the structural changes they've made to the business thus far are delivering tremendous incremental adj. EBITDA margins in the 40-50% range (latest qtr 22.5%).

We have clear forward-looking indicators that this restructuring plan still has a ways to go as CRS had a head start on their ongoing production restructuring and since '23, they've improved gross margins by >1,000bps; I'm therefore confident that ATI can realize another +400-500bps of operating leverage improvement and +300-400bps of restructuring improvement over the next 3-4yrs. We also know that the market is completely ignoring the margin improvement story as both CRS and ATI trade in a similar forward multiple range (~28.5x fwd '27 EV/EBIT), despite ATI's higher upside relative to how mature the margin improvement story is already for CRS.



Valuation Framework:

Assumptions		FY'26E	FY'27E	FY'28E	FY'29E	FY'29E EBIT	1,697.6
Revenues						Exit mult	30.0x
HPMC		2,726.3	3,133.0	3,557.5	3,943.0	Exit value	50,927.2
	growth%	11.7%	14.9%	13.6%	10.8%	WACC	7.0%
AAS		2,423.2	2,738.3	3,050.0	3,327.1	PV '26-'29E Accum UFCF	2,558.8
	growth%	12.9%	13.0%	11.4%	9.1%	PV EV	42,747.8
Total Net Revenues		5,149.5	5,871.3	6,607.5	7,270.1	Cash & CE	783.0
	growth%	12.3%	14.0%	12.5%	10.0%	Revolving credit	(2.7)
Total Gross Profit		1,335.8	1,655.7	1,942.6	2,166.5	Term loans	(200.0)
	margin%	25.9%	28.2%	29.4%	29.8%	Sr notes	(1,900.0)
Total EBIT		966.2	1,244.0	1,492.6	1,697.6	Retirement/pension liab	(194.0)
	margin%	18.8%	21.2%	22.6%	23.4%	PV Market Cap	41,234.1
	EV/EBIT	31.8x	24.7x	20.6x	18.1x	FD shares	139,008
						Implied px	\$296.63
						Upside/(downside)	41.3%
						Annualized return	22.3%

Downside Scenarios:

- Prolonged stalemate in the Iran War/Persian Gulf spiking jet fuel prices may eventually delay new aircraft and jet engine order deliveries which could potentially slow top-line growth towards the HSD/LDD CAGR range and trim back some of the operating leverage on margins – at a discounted ~25x exit multiple I think valuation disconnect trimmed towards +10-15% upside. We should note that on the flipside in our favor, ATI management on recent calls mentioned customers are openly expressing they will take on any potential capacity that might free up and peak Summer travel for consumers has not slowed despite higher ticket prices
- Left tail extreme regulatory safety/compliance delays on Boeing 737 production (i.e. fatal catastrophe) could cause reunderwriting of the thesis/outlook

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

- Continued improvement in jet engine sales mix would be clear indicator their restructuring playbook towards higher value segments is working and translating to q/q improvement in margins
- Consistent Boeing progress towards 53 plane deliveries per month by YE'26 and eventual target of 63/month would re-rate market's growth outlook towards my expectation of low-teens for ATI on consistent volumes and demand-driven pricing; further outlook upgrades and q/q backlog build from GE Aero on jet engines would also be supportive of the demand-driven pricing thesis
- Easing of Iran War tensions will positively re-rate near-term sentiment away from fears of higher fuel prices/lower travel volume affecting airlines from taking on new aircraft deliveries

Messages

No messages